



Looking at specific sectors, what they have done for the toys and laser industries, what they have done for extending credit to MSMEs, for the national manufacturing mission, to promote solar power is commendable.



What sectors are you looking at now?

We always avoid high valuations. We maintain that outlook. From the market's perspective, the biggest pain point are the larger mid-cap companies. That is where there is maximum discomfort in terms of valuations. Because those are the centre of all small, mid, and large-cap funds. I

would surely avoid anything that is very highly valued compared to the growth it offers. And I will tilt more towards buying value, which has not been in favour for the past three to four years. Value may be in large-cap companies, or in small- or mid-cap companies, but my tilt will be towards buying value. And it will be more bottom-up rather than backing any big theme at this point. Once again, I want to repeat that this market volatility gives you an excellent opportunity to enter these companies.



Do you think the capex and infrastructure

themes will continue to have play?

They will continue to have some play, but the markets have become very nervous looking at the headline number, in terms of correction. But let's not forget, a lot of these stocks have corrected 30–50% from their peak. At some point of time, they will offer risk-adjusted value. I would not write them off.



What is your outlook as far as earnings growth is concerned for the current financial year?

Earning growth rate should pick up in the second half of 2025–26,

but earnings growth has been a challenge and that is being reflected in the market. If earnings were fine, I don't think we would have had this kind of correction. But because in the first six months the capex was slow because of the General Elections and a general slowdown in the overall corporate sector, I expect that to pick up in the second half of 2025–26. And Nifty is trading roughly at 18 times, which is lower than the last 10-year weighted average of valuation. By no stretch of imagination are these frothy valuations.



How do you foresee FII's flows?

I think they should come back. It's been heavily tilted, and the US has now become 75% of the world market cap. At some point, maybe in this year, we will see FIIs coming back. But it's very hard to comment whether it will happen in the next 30 days or 60 days. But I would be optimistic because you can't ignore the long-term potential of India. Let's see how the market behaves in the next 30–60 days. They are very critical, even from a global market perspective. I don't expect them to come back immediately, but I am hopeful that at some point during the year FII's will come back. **BT**

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